

Occupation of Ruhr and Hyperinflation

TOV ⇒ forced Germany to pay reparations of 6.6 billion pounds

⇒ Germans protested that this was unaffordable ⇒ but their pleas were ignored

When Germany ⇒ failed to make a payment in January 1923 ⇒ French and Belgian troops

⇒ occupied the Ruhr Valley ⇒ Germany's most important and valuable industrial region.

⇒ began to take what was owed to them in the form of raw materials and goods

⇒ this was considered legal under TOV.

Response ⇒ German Govt ⇒ ordered workers to go on strike + to not cooperate with the French.

Sudden halt in industrial production ⇒ Caused German currency to collapse.

Government ⇒ continued to print banknotes ⇒ but they were practically worthless ⇒ since printing more money caused value of currency to decrease.

⇒ flood of money ⇒ led to hyperinflation ⇒ prices of daily needs rose rapidly.

Workers ⇒ needed wheelbarrows ⇒ to carry home their wages + began to be paid daily instead of weekly.

Hyperinflation ⇒ caused great hardship for Germans.

⇒ middle class Germans lost the most

German economy was devastated to the extent that personal savings were wiped out and unemployment was widespread.

⇒ prosperous middle class families ⇒ that would have been able to buy a house with their savings in 1921 ⇒ could not even afford a loaf of bread in 1923.

⇒ resulted in govt losing support from middle class Germans ⇒ who felt that Weimar Republic favored workers, industrialists and politicians instead of them.

Situation ⇒ gave the government's opponents another reason to blame it for

⇒ Many opponents linked the problem to the hated TOV > which was signed by Weimar Politicians

⇒ led to deep resentment towards Weimar Politicians ⇒ who agreed that reparations stipulated in the treaty

Weimar Govt ⇒ did try to solve problems

Nov 1923 ⇒ New Chancellor ⇒ Gustav Stresemann ⇒ replaced the German mark with the Rentenmark

Stresemann ⇒ also negotiated reorganization of the reparations through ⇒ Dawes plan in 1924 and Young Plan in 1929

→ these firm and decisive actions allowed Germany to stabilize its finances by reducing its debt

Period 1923-1929 ⇒ Commonly associated with Golden age of Weimar ⇒ where economy recovered and democracy had a chance of taking root

⇒ appeared to many that Germany had averted worse of the crisis era + entered a new period of stability and success

On the other hand ⇒ there were others who felt period of recovery ⇒ only served to mask the major weaknesses that continued to plague WG
